

Advantage 1 Inequality.

Inequality is magnified by growing monopsony power, which diminishes wage growth and chills employment increases

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Monopsony offers an **alternative framework** through which to understand the **labor market**. According to the hypothetical perfectly competitive model of the labor market referenced in introductory economics textbooks, a business that cuts wages will eventually lose all of its workforce. The reason is that **under perfect competition**, **workers have complete freedom** to move from job to job **in search of higher wages**, and **when the market is in equilibrium**, they are able to find an **employment opportunity** that **pays a wage equal to the value of what they produce**, or equal to what economists call the **marginal product of labor**.

Put another way, the marginal product of labor is the **change in output** a firm will get by hiring one additional worker. In the actual labor market, however, workers’ decisions to leave or stay in their jobs are not as sensitive to changes in wages. Research shows that **there are a number of factors that can constrain** someone’s ability or desire to switch jobs. **Employer concentration**, the **time** and **effort** it takes to find another job, and **individual preferences** or **needs** unrelated to pay, such as looking for part-time employment due to care responsibilities, **are some of those factors**. Other factors include fears of losing employer-provided **benefits**, **noncompete contracts**, **economic downturns**, and **discrimination**.

All of these barriers can **dampen competition** in the labor market and may keep workers from moving on to **other employers**, even if their current pay is not **commensurate** with their **productivity**. And by **giving employers an upper hand** when determining compensation, **monopsony not only dampens wage growth** but also **drags down employment**, since the **pay for existing employees** is **not enough to attract other workers**.

The perfectly competitive and monopsonistic models of the labor market

Let’s first take a deeper look at the perfectly competitive model of the labor market. A firm operating in this hypothetical labor market is a price-taker, meaning that it has no option but to pay the market wage—the wage that is determined by the forces of labor demand and labor supply. In economic parlance, this model of perfect competition posits that individual firms face a so-called horizontal labor supply curve, meaning that they can hire all the workers they want as long as they pay a competitive wage, or the “market wage rate.”

In this perfectly competitive model, then, a firm will decide to hire workers up to the point where the marginal revenue product of labor, or the change in revenue the firm will get by hiring one additional worker, intersects with the market wage. So, theoretically, firms operating in a perfectly competitive labor market will be able to hire all the workers they want as long as they pay the market wage. If firms pay less than the market wage or cut wages, then all of their workers will choose to go to other firms that offer higher market wages.

If a labor market is functioning in a more monopsonistic way, however, firms will be price-setters rather than price-takers. The idea is that unlike a firm operating in the perfectly competitive labor market, a monopsonist firm that faces no competition when hiring workers faces an upward-sloping, instead of a horizontal, labor supply curve. As such, if the monopsonist slashes its wages, then it will lose some, but not all, of its workforce. But while these firms will be able to hire workers even if they do not pay

competitive wages, they will have to increase pay for all workers every time they want to attract an additional worker. As a result, monopsonist firms will hire fewer workers at lower wages. (See Figure 1.) Figure 1

Of course, labor markets rarely have a single firm competing for workers. But the monopsonic model nonetheless offers important insights into the relationship between imperfect competition, wages, and employment.

Further, recent research has focused on what scholars call modern or dynamic monopsony—a framework in which a single firm does not have to be the only employer in a given labor market to be able to exercise monopsony power as long as the dynamics of the labor market reflect significant frictions in switching jobs that lend wage-setting power to employers. Indeed, a large and growing body of empirical research is finding evidence that U.S. employers often have the power to set wages.

What recent research says about the presence of monopsony power in the U.S. labor market

As interest in the causes and consequences of imperfect competition grow and new empirical methods and data become more available, there has been an explosion of research about and around monopsony. To study employers' wage-setting power, economists and other social scientists can measure how likely workers are to quit in response to a decrease in wages, capture the degree of employer concentration in any given labor market or industry, or study the barriers that limit workers' ability to move from job to job.

In addition, researchers can examine how discrimination, longstanding social norms, and demographic characteristics make some groups of workers especially vulnerable to wage suppression because of these dynamic factors. Next, we review recent studies in each of four buckets of research.

Markdowns and workers' sensitivity to wage changes

A common way to measure employers' monopsony power is through what economists call **elasticity of labor supply** to the firm, a concept that captures how **sensitive** workers are to **wage changes**. In the hypothetical **perfectly competitive** labor market, the elasticity of labor supply facing the firm is **infinite**, meaning that a **1 percent reduction** in pay would be enough for a business to lose **all of its workers**, at least in the long run.

Research shows, however, that **workers are much less sensitive to changes in pay** than the perfectly competitive model would predict, allowing firms to pay wages that are not proportionate to workers' productivity. In the **monopsony** literature, calculating the **elasticity of labor supply** to the firm allows economists to **estimate** the potential wage markdown, or the gap between the value workers generate for the firm and their actual wages.

There are a number of studies that show the existence of markdowns in labor markets. Recent research on the U.S. manufacturing industry, for example, finds that **manufacturing workers** employed at an average plant **earn only \$0.65 for every \$1 of value they create**, suggesting that the majority of manufacturing plants in the country operate with some degree of **monopsony power**.

Rising inequality will unleash systemic financial risks.

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Not only might **inequality induce the non-rich to** consume and borrow more, but it may also influence them to **make more risky investments**. Another recent paper, by Aron Gottesman and Matthew Morey, found a positive relationship between **income inequality** and **financial overconfidence** and **risk taking**. This study also showed that **as inequality increases, poor individuals increase their willingness to take risk**.

How the Rich Contribute to Financial Instability: The "Saving Glut"

Compared with low-income households, high-income households spend a lower share of their income, and save a higher share. They also allocate a higher fraction of their savings toward riskier assets. This may be another way that higher inequality drives inflated valuations of risky assets like stocks. Moreover, the manner in which the rich save can serve to finance the debt bubbles of the poor and middle class. Since the 1980's in the U.S., the rise in savings by the top 1% of the income or wealth distribution has been substantial, and has been associated with dissaving, in other words borrowing, by the rest of the household sector as well as the government. In their paper, "The Saving Glut of the Rich," authors Mian, et al. determine that businesses owned by the rich have increased their holdings of money market funds and time deposits substantially since the mid 1990s, injecting excess liquidity into the banking system, which in part induced the banks to lessen lending standards. As households sought to expand their borrowing to bolster their eroding socio-economic status, the banks, in essence financed by rising inequality, were happy to oblige. The combination of demand for debt by the non-rich, and the excess of funds supplied by the rich, caused the ratio of household debt to disposable income to rise from 77 percent in 1983 to 177 percent in 2007 for the bottom 95% income group of U.S. households. In contrast, the top 5% group maintained a trendless ratio in the range of 50-100% during the entire period.

What Are the Indicators Saying Now?

The United States is now more unequal than it was at the beginning of the GFC. The share of total disposable income of the top 10% of working age adults is higher compared to 2007. When measured by wealth, the share of the top 10% (and top 1%, 0.1% and 0.01%) is also higher than it was in 2007. Asset prices are also flashing yellow. The inflation-adjusted median home price is higher than before the GFC. The valuation of the equity market is also elevated in comparison to 2007. While the consumer is not yet overburdened by debt, the direction is concerning. As the U.S. Financial Stability Oversight Council notes, "household debt servicing ratios and overall consumer delinquencies remain relatively low. However, savings are falling, overall nominal consumer debt balances are at an all-time high, and credit card and auto loan delinquencies are on the rise." In fact, credit card and auto loan delinquencies are approaching or exceeding the levels witnessed in 2006/2007. The ingredients are in place for another inequality-based financial crisis.

Independent of growth, inequality erodes institutional capacity

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(ii) Institutional quality and conflict

It is often argued that a country's long-term performance depends to a significant extent on the quality of its institutions, including its political and legal institutions (Acemoglu, Johnson, and Robinson 2005). Economic research mostly focuses on explaining long-term differences in growth rates. As seen above, some researchers argue that high inequality will reduce growth rates, among other things, because it can worsen institutional quality. However, besides facilitating economic growth, public institutions have other functions that matter from a long-term perspective. For example, disaster preparedness, education, public health, foreign policy, science policy, and many other areas could influence long-term trajectories. If such things go badly, they could increase existential risk. Conversely, good institutions will help reduce existential risk. For many existential risk reduction strategies likely require public goods and collective action, which in turn require good public institutions (among other reasons, because some such public goods are unlikely to be provided by markets). So, it seems reasonable to assume that, with most other

societal goals, good institutions can help deliver existential risk reduction. Here is a cheesy analogy: targeted actions like washing your hands regularly or getting a flu shot can reduce your risk of dying from an infection. But you will also do well investing in a strong immune system, as that is an ‘all-purpose goods’ in lowering your risk of dying from any bacterium or virus. Investing in good institutions might similarly be an all-purpose-good: rather than tackling individual sources of existential risk directly, we improve conditions for tackling whatever existential risks may come our way.

There are at least two reasons why higher inequality could decrease institutional capacities for longtermist public goods.

First, there is some direct evidence that, whatever the causal pathway, **inequality reduces institutional quality** (which in turn typically leads to more inequality) (Chong and Gradstein 2007; Savoia, Easaw, and McKay 2010).

Second, **high inequality can lead to elite capture**. Empirical work on studying political and de facto legal power is difficult, yet there is a growing consensus that high levels of inequality can lead to elite capture and thereby **reduce the long-term quality of legal and political institutions** (Acemoglu and Robinson 2008; 2013; Bartels 2018; Bavel 2016; Chong and Gradstein 2007; Cummins and Rodriguez 2010; Savoia, Easaw, and McKay 2010). Further, **if institutions are disproportionately geared towards elite interests, then they might be less likely to be geared towards positive longterm trajectories**. We might see **more rent-seeking and less investment in public goods**. Moreover, if elite capture is strong enough, such capture, and the potential inequality that comes with it, can intensify going forward (Chong and Gradstein 2007).

Now, one might object and wonder whether elite interests and longtermist interests will necessarily be misaligned. Could an enlightened elite not even be more longtermist than a more democratic system? Here are two potential arguments. First, wealthy donors fund a significant part of research and direct action on existential risk and longtermism (the Open Philanthropy Project, for example). Indirectly, inequality might thus reduce existential risk through such funding. Second, rich people might have a lower rate of pure time preference than less well-off people, which would make them more naturally aligned with investing in long-term causes.

In response to the first argument, remember we here focus on income inequality reductions. Private funding only requires ‘enough’ wealth inequality going forward, it need not require elite capture. And reducing income inequality is unlikely to eradicate the required wealth inequality and the existence of big donors. In response to the second argument, we are somewhat sceptical that elite capture would translate a lower impatience rate into longtermist strategies in policy. A successful 14 transmission would require influence to be systematic and well-coordinated across time and, probably, across different elite actors. Yet lobbying and elite influence must often capitalise on shorter windows of opportunities, which makes well-coordinated intertemporal, and positive longtermist, policy capture less likely.

Of course, such considerations are speculative. But, in any case, we think that, on balance, **there are stronger reasons to believe elite capture would increase – rather than decrease – existential risk**. First, elite capture often comes with rent seeking, which lowers institutional quality (Chong and Gradstein 2007). Second, **industries like oil, gas, weapons and others are often concentrated and well organised in exerting influence in law and legislation**. Their interests and influence overall are likely to be more short-term than longtermist. Third, **recent decades have seen a shift towards a stronger shareholder value orientation in corporate governance**. A common criticism of **this shift** is that it **incentivises more short-term decisions**. Accordingly, corporate influence into public institutions will likely display short-termist bias too. Finally, we can of course imagine that ‘prolongtermist elite capture’ could happen and gamble on that possibility. However, if strong democratic and legal oversight and the power to check elite influence is lost, we might struggle to reverse our gamble.

Second, **high inequality is likely to reduce social capital and trust** (Alesina and La Ferrara 2002; Knack and Keefer 1997; Rothstein and Uslaner 2005). Social capital and **trust** in public institutions in turn are **important for effective public goods provision** (Knack and Keefer 1997; Beugelsdijk, Groot, and Schaik 2004). Effective public goods provision, in turn, is **important for (some) effective measures to reduce existential risk** (and, more generally, to coordinate towards more valuable long-term trajectories).

Therefore, high **inequality** could **reduce** societies' **capacities to effectively respond to large-scale challenges** like existential risk.

Shifting towards pluralistic approaches to collective bargaining preserves benefits of unionization while avoiding downside risks to the economy.

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Powerful **labor unions** that use aggressive **negotiation** tactics have historically **secured higher wages** for unionized workers, although recent studies suggest this wage advantage has declined or disappeared due to global competition and technological changes. The **research shows** that powerful labor unions acting through their **monopoly face** can **limit job growth and employment** opportunities. Excessive **demands** have **led companies to cut** investments—particularly in **R&D** and long-lived tangible capital—thereby **reducing productivity**, profitability, and long-term viability. As a result, **these firms** have been more **likely to downsize or shut down**, ultimately leading to job losses and lower overall employment for unionized workers. Therefore, our study finds that labor union power is not synonymous with being pro-worker.

Our conclusion is **based on an exhaustive analysis of 147 studies**, conducted over three decades, **covering labor union power** in the United States, the United Kingdom, and Europe. These studies were published in the top five economics journals, journals affiliated with the American Economic Association, and other reputable sources of seminal research.

We also look at an in-depth case study of the Rust Belt that **illustrates** how **unions wielding monopoly privileges** and fueling strikes and conflicts were **responsible for 55 percent** of the **decline in** the Rust Belt's share of **US manufacturing employment**. Moreover, **powerful labor unions** can also **reduce labor turnover and mobility** through job security clauses and seniority promotions, which help union “insiders”—usually longer-tenured or senior employees—but harm “outsiders” (e.g., younger or new workers) by discouraging hiring. The result is that insiders continue to benefit from the reduced labor turnover and stability, while outsiders face few openings and limited upward mobility.

Yet, downstream job losses and **firm decline can be traced not to the collective voice** itself **but** to the **statutory monopoly structures** that **amplify aggressive bargaining** tactics and **block alternative channels for cooperation**. The evidence suggests that moderate labor union power, characterized by **balanced demands**, **greater worker representation**, and increased flexibility, can better **preserve** the **benefits** of labor unions while **avoiding the downsides associated with monopolistic unions**. This moderation creates a balance between worker gains and company growth, benefiting both in the long run. **Unions** in the United States, however, **tend to be more powerful and adversarial than** those in countries such as **Germany and the United Kingdom**, largely **due to** labor laws and **bargaining structures** that generate monopolistic characteristics **for US unions**. In contrast, **unions in Germany and the United Kingdom exhibit less monopolistic characteristics** because **they operate within frameworks** that **encourage** greater **flexibility**, worker representation, and collaboration with employers.

Overall, a union's monopoly power does not translate into better worker outcomes. We propose **policy reforms that relax monopoly** privileges for labor unions in the U.S. and encourage **pluralistic forms of worker voice**. These reforms aim for and balanced demands that can **preserve** the **gains** of collective bargaining **while mitigating** its unintended **costs**.

Organizing---IAC

Advantage 2 is Organizing.

Sectoral collective bargaining is vital to democracy in the workplace – it is the only tool to increase worker’s voice in the bargaining process.

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Ultimately, the mechanisms of **democratic accountability** embraced by American governance **have not enabled workers** meaningfully **to shape their own workplaces or to participate in economic policy making**. A **key problem** is that the **administration of employment law**, like administrative governance and the legislative process more generally, **takes** as a given the **resource and power imbalances** that exist among different social and economic inequalities **then reverberate through processes** that are formally equal. For example, workers groups. Those can participate through the regulatory notice-and-comment process, and they can lobby their elected representatives or the President for new legislation. But they compete with business organizations and economic elites, who have disproportionate ability to engage the governing process at every level.¹⁰⁷

The use of technocratic expertise within agencies does not solve this fundamental problem. Indeed, the dominant framework for expert policy reasoning— cost-benefit analysis—approximates market pricing even where it does not exist, asking, for example, how much people are willing to pay to avoid harms in workplaces already shaped by inequality. Such **methods** can **facilitate economic efficiency** in decision-making, **but they are not redistributive** or egalitarian in aim **and can** actually work to **reinforce inequality**.¹⁰⁸

In contrast, scholars have shown that **more egalitarian outcomes** are achieved **when the law creates inclusive systems of sectoral bargaining**, which **enable power sharing** in decisions about wages, benefits, and the economy more broadly. **Unlike voluntary** worksite-based **bargaining**, which tends to **compress wages within individual firms**, **sectoral bargaining** directly **affects wages throughout the labor market**.¹⁰⁹ It also **reduces incentives** for fissuring of the employment relationship **and can ensure** that **all workers**, whether classified as contractors or employees, **receive the benefit** of negotiated standards.¹¹⁰ Indeed, **comparative labor law** studies **suggest** that if more equal distribution is the goal, then broadly **inclusive union organizations** empowered to negotiate on a sectoral basis **are key**.¹¹¹

Historical **evidence from the United States** similarly **suggests** that when unions have **achieved enough density** to **force employers to agree to something akin** to sectoral bargaining in particular industries—for example, through multiemployer or pattern bargaining—they **have had much greater success at raising economic standards** for workers.¹¹² **Sectoral bargaining** also tends to **increase workers’ voice in the democracy** by **giving** worker organizations an **official seat** at the table **when important decisions** about workplace policy and the political economy **are made**.¹¹³ More generally, **worker organizations’ greater bargaining power and** broader **mandate** may **enhance** their **incentive and ability to serve** as a **counterweight** to organized **business interests** in the **political sphere**.

Misinformation is dangerous, but informed workforces solve.

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We are living through a **moment of crisis** that will define **who we are** as a nation; yet **we can’t even agree on what’s real** and **what’s rumor**. Our political discourse too often **amounts to opinions** about **opinions**, shouted across a cable-television split screen. Asked to describe their feelings toward the federal government, a majority of Americans say either **“frustrated” or “angry.”**

All of this points to **a civic disease** that I've been calling **"Truth Decay,"** and that has **enfeebled** our **response to everything** from **climate change** to **domestic terrorism** to a **global pandemic**. It's the **diminishing role of facts** and analysis in American public life, **and it cuts much deeper than** any **political party** or demographic. It's why nonpartisan think tanks like RAND are as important now as they have ever been.

I've always said that RAND is an idea as much as a research institute—a belief **that the best way to solve the most complex and difficult problems is to begin with facts** and objective analysis. In our early days, that meant figuring out how to put a satellite into orbit, or how to manage the threat of global nuclear war. Today, it means saving lives and livelihoods from COVID-19, building a more just and equitable society, and responding to the ever-changing threats of an ever-accelerating world. Our goal throughout has been to make communities safer and more secure, healthier and more prosperous.

At RAND, we have never shied away from a problem because it is too difficult or too complex. We've made **countering Truth Decay** one of our highest priorities because it is both, and because it **threatens the very foundations of** our **democracy**.

In recent and soon-to-be-published studies, there's a **growing body of evidence** showing that **people don't just lack trust in** American **institutions** like Congress or the media. **They** actively **distrust them**. They **expect** those **institutions to display** some basic **competence**, to provide **accurate information**, to **perform their duties with integrity**. And they just don't see it.

And so, often, they just walk away from the public square. Last year, we asked hundreds of Americans where they get their news. More than a quarter of them said they know where they could go for reliable facts and information—sources like newspapers or television news shows. They just don't have the time or interest to bother.

We've made countering Truth Decay one of our highest priorities because it threatens the very foundations of our democracy.

That kind of **disengagement** has helped **drive a wedge between** **what is true and what we think is true**.

Crime rates in American cities are far below the peaks we saw in the 1990s, but you would hardly be alone if you thought it has never been more dangerous to walk down the street. The scientific evidence for **childhood vaccines** has **never been so strong**, yet the **World Health Organization** recently **listed vaccine hesitancy** as one of the **greatest threats to global health**.

That's what I mean when I talk about Truth Decay. The **proliferation of cable news** shows and social media sites has **resulted in** an **echo chamber** of voices **that agree with us**—or a shouting gallery of those that don't. The switch from one-hour network news programs to 24-hour coverage did not come with a 24-fold increase in reported facts. We shouldn't be surprised when people use words like "frustrated" or "angry" to describe the national mood.

But here's why I'm optimistic.

A few years ago, RAND endeavored to review all of the evidence for and against some of the most common ideas for reducing gun violence—tougher background checks, for example, or weapon bans. We found that there was often a lack of reliable evidence either way. Federal constraints on gun research had created a factual vacuum around one of our most vociferous debates. Everyone was just shouting into the void.

That study, though, caught the attention of the Laura and John Arnold Foundation, now called Arnold Ventures. It brought together a research consortium to invest up to \$50 million in gun violence research. And Congress, which had resisted funding research into gun violence for 20 years, passed a bipartisan spending bill to provide \$25 million more.

We've seen periods before in American history when the truth struggled to be heard. Some of those eras ended with new forms of journalism, recommitted to chasing down facts and holding those in power to account. Others ended with government reforms aimed at earning back the trust of the governed. None of them ended without renewed faith in objective analysis to guide public policy.

As a research institute with two core values—quality and objectivity—that's our stock in trade. **The problems we face, as** a nation and a world, **demand** a **workforce of people who can collect and analyze data**, think through solutions, **and provide insights** and recommendations **without spin or bias**.

The standards we set at RAND—research that is transparent and clear, based on the best information, and temperate in tone—are meant to ensure that the bluest of blue-state Democrats and the reddest of red-state Republicans can trust our findings equally.

When we launched a fundraising campaign for the future of RAND earlier this year, we named it “Tomorrow Demands Today.” That’s a different way of saying what French writer Antoine de Saint-Exupéry once wrote, a line I’ve always thought spoke directly to RAND: “Your job is not to foresee the future, but to enable it.” At this moment in history, that means restoring facts and analysis to the core of American public policy.

The stakes could not be higher. As a longtime friend, a former chairman of the board at RAND, told me, RAND was established more than 70 years ago to address the existential threat of the time, the Soviet Union and its nuclear arsenal. **Truth Decay,** he said, **is the existential threat of our time.**

Engaging in the contract fight itself overcomes misinformation and strengthens democracy.

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First of all, I think the use of the word “narrow” is interesting for me because it seems like we’re trying to draw a very broad message, which is about **participation** broadly and how it **undergirds democracy**, which is an analogy that we make in the opening, but also in the concluding chapter. So, it’s a sort of larger argument that **the more people understand how power works, the more capable they are of actually overcoming** the kind of **obstacles that are thrown in their face** along the way. Where it fits, in part, is trying to open up a topic that has not ever actually been covered in the literature, which is **the mechanics of negotiations**. But it’s really about **the principles of democracy and the trade union and what it means to involve, invite, and engage workers to the most important decision that most workers engage in a union for, which is what’s going to be in their union contract.** And to the degree that we are pushing hard in the book on examples of **when you open up the negotiations process and when workers come to understand who their employer really is**—whether it’s in a first contract fight, like we’re dealing with in a number of cases right now, from REI to Trader Joe’s to fill in the blank—we’re arguing that in fact, the more you open up the process for people to understand it, **the more capable they are of actually overcoming both the union busters, and** in a larger argument, **defeating** the kind of **disinformation and misinformation polarization that’s happening in our democracy writ large.**

Plan---1AC

The United States federal government should substantially strengthen collective bargaining rights for workers by requiring the approval of sector-wide bargaining units.

-Definitions are operationally defined and available upon request.

Solvency---1AC

Advantage Three Solvency.

Drastic legal changes like the aff empower already motivated workers to come to the bargaining table with legal protections.

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Since the late 1950's the National Labor Relations Act *has not seen any significant changes*, allowing laws that were meant to govern a very different time period to remain as the bedrock of collective bargaining. Today, unionization rates demonstrate the challenges that unions are facing, with only *10.5% of the American workforce* being represented by unions. It is **time to approach collective bargaining from a new vantage point**, in order to strengthen workers' voices and ensure a more equal balance of power between labor and management. One concept that has begun to *gain national attention* during the 2020 Democratic presidential primaries is **the idea of sectoral bargaining**. As more candidates support sectoral bargaining and push to reimagine the system under which workers collectively bargain with their employers, **a strong case can be made for a drastic change to federal labor laws**. Following in the footsteps of *many other industrialized nations*, sectoral bargaining would enhance political and economic equality, while **giving labor a more prominent seat at the negotiation table**. Sectoral bargaining allows workers to bargain with employers within an entire industry, while also allowing elected officials to have a seat at the bargaining table. Workers choose a union to bargain on their behalf and the union then works with employers within an industry to set wages, safety standards, health insurance rates, and other negotiable terms of employment. Employees within a certain occupation, or within a defined geographic area can *come together* to bargain with all of their employers. However, **currently** in the United States, workers must come together to **bargain with their own employer**, allowing unionization to **only** take place **within individual companies** or workplaces. While this system does give workers some leverage over employers, through the use of collective action, allowing sectoral bargaining would give workers more bargaining power. Threats of strikes across an entire industry are more persuasive than just having workers strike against a single employer. **While sectoral bargaining has no legal backing** in United States labor law, **the 2012 fast-food worker's strike in New York demonstrates the ability of an industry to come together** to demand actions from employers. After fast-food workers from multiple chains and multiple stores walked out, they demanded a \$15 minimum wage, which became known as the "Fight for \$15." While they did not have a union represent them to achieve this wage, their collective action across an entire industry forced states like New York to raise their minimum wage, agreeing to a gradual increase in wages that would result in \$15 an hour. Examples like the "Fight for \$15" show how **large groups of employees can come together and fight** for a better work life, while not allowing any company in an industry to have a distinct advantage in areas like workers' pay. Instead all companies and workplaces in an industry, like the fast-food industry in specific regions, must abide by the same terms of employment, like a \$15 wage, so that there is a level playing field across the industry. Another example is the *teacher strikes* that have taken place in states like Arizona, Colorado, and Oklahoma, where teachers from schools all across those states went on strike to demand better pay and working conditions. Teachers came together from many schools to demand that all schools in their states improve not only their own working conditions, but the environment in which students were receiving their education. Once again no union represented all the teachers, but an entire industry across several states worked together to use their collective voices to improve their working conditions and demand action. While one group of teachers going on strike may not have made state governments come to the negotiation table, the large swath of teachers forced states to take action and meet some of the teachers' demands. **Instead of hoping that groups like teachers will band together to challenge an entire sector of employers without legal protection, national labor law should ensure that those in an industry who wish to act collectively can negotiate with employers in an entire industry**, not just in each individual workplace. **Due to low unionization rates** and the suppression of workers' voices, labor issues can **no longer** be fixed by **small changes**, instead **the United States needs broad sweeping reform if it plans to once again strengthen the voice and freedom of its workforce**. While sectoral bargaining would require **vast changes** to federal labor laws, this singular idea is becoming front and center in the 2020 Democratic presidential primary. Candidates like Elizabeth Warren, Bernie Sanders, Pete Buttigieg, and past candidates such as Cory Booker and Beto O'Rourke *all released new labor reform proposals* that would implement a system that

either resembles or is identical to the concept of sectoral bargaining. With a surge of support for a proposal that would have once seemed far too left of mainstream to have ever garnered widespread support, sectoral bargaining has begun to work its way into serious proposals. As workers continue to be disadvantaged and employer's grasp on power leads to lower wages, American **workers** are beginning to **recognize** the need for more **dramatic tactics** to ensure a more equal balance of power between labor and management. Building upon the European model where "*centralized bargaining has been limited only by the size of the workforce itself*," American **labor law** could **allow sectoral bargaining, to** ensure **maximize participation** of the **workforce** in negotiations with employers. Sectoral bargaining offers workers the chance to **come together** from across an industry and **fight for** what they believe to be **better working conditions**. Not only would workers who are already able to unionize become more empowered under a sectoral bargaining framework, but **other workers who are not** **currently** **guaranteed the right to** **collectively bargain**, like farmworkers, domestic workers, and independent contractors, **would also be brought into the fold**. New sectors of workers would be represented by unions, as standards would be set for all industries, bringing employers to the table and requiring them to work together towards an agreement that allows their businesses to flourish, while protecting the rights and the integrity of their workforces. With a new swell of support for sectoral bargaining during this 2020 presidential election real change seems to be front and center. Importantly, this **new call to allow workers to come to the bargaining table** as one unit for an entire industry, **would allow** **outdated** **federal labor laws to be replaced** by a more fair, just, and modern standard that focuses on protecting the American workforce. Instead of workers being left at the kids table while management controls the negotiations, the **American worker** would be **empowered** to join management at the bargaining table as an equal.

Legalizing sectoral bargaining solves both sides of the contract --- workers unite around new opportunities and employers willingly bargain because they are protected from in-sector race-to-the-bottom

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As discussed in the Introduction, **collective bargaining in the United States** has historically—with some important but limited exceptions—been a **highly decentralized** system: Unions generally **negotiate** on behalf of the workers at an **individual** firm or, even more commonly, on behalf of a **subset** of the workers at an **individual firm**. Decentralized bargaining of this sort has produced significant results for workers covered by collective bargaining agreements: There is a consistent union wage premium, for example, and unionized workers enjoy more extensive benefits and greater job security than non-unionized workers.

However, **decentralized** bargaining—what is often referred to as "**enterprise bargaining**" in the United States but which actually refers to bargaining at the level of the workplace or subunits of a workplace—also has three **profound shortcomings**. First, and consistent with our emphasis on inclusion, decentralized bargaining **has left** **tens of millions** of workers **without** the **protection** of a collective bargaining agreement.⁸⁷ This form of exclusion exacerbates the forms of gender and racial exclusion addressed above. Second, because unions produce a **wage** and **benefits premium** for unionized workers, **enterprise** bargaining therefore **creates** a **perception** among employers that **unionization** **implies** a **competitive disadvantage** vis á vis non-union firms in the market. **Enterprise** bargaining accordingly leads employers to **fight** unions. Indeed, the **decentralized nature** of collective bargaining is a **significant cause** of employer **opposition** to unionization in the U.S. Third, **enterprise** bargaining is

structurally incapable of addressing the problems posed by the fissured workplace. If unions only negotiate with individual firms, then subcontracting, franchising, and systems of independent contracting can readily defeat the efficacy of unionization.⁸⁸

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To address exclusion, employer opposition, and the problems that flow from fissuring, the U.S. needs to enable collective bargaining not just at the firm level but also at the sectoral level—that is, we need to enable collective bargaining between unions and industries, not just unions and firms. Take, for example, the fast food industry and compare an enterprise system in which collective bargaining takes place between a union and a single firm with that of a sectoral system in which collective bargaining takes place between many unions and all of the employers in the industry. The first thing to note is the effect of franchising: Because each franchise (e.g., each individual McDonald’s or Burger King franchisee) may, under current law, be considered a separate employer—a separate “enterprise”—bargaining in an enterprise system would likely occur between unions and individual franchisees.

What would collective bargaining between a union and an individual McDonald’s franchise look like? Among other things, management would likely want to pass any wage gains secured by the union onto the customers in the form of higher prices. In the competitive fast food market, however, such price increases could result in customers switching to a different restaurant (e.g., either to another McDonald’s or to a different fast food chain entirely). This dynamic means that the franchise would perceive itself as having an incentive to prevent unionization at all costs. The situation is modestly, but not fundamentally, improved if collective bargaining were to take place between unions and complete fast food chains. In this scenario, McDonald’s, for example, would vigorously resist unionization out of concern over being placed at a competitive disadvantage relative to Burger King. In a sectoral system, on the other hand, unions representing fast food workers nationally could secure wage and benefits gains across the entire fast food industry. This form of wage increase could not place any restaurant chain at a competitive disadvantage vis-à-vis any other restaurant chain, and thus, this form of wage increase would not incentivize employer opposition to unionization. Ultimately, a system of sectoral bargaining would predictably result not only in more effective collective bargaining but also in much greater collective bargaining coverage, addressing the problem of exclusion that has plagued industries such as fast food.

The predictions of this hypothetical example are borne from real-world evidence. Countries with sectoral bargaining systems—which include nearly all countries in Europe as well as Argentina and South Africa—have far greater collective bargaining coverage than countries with enterprise-level bargaining.⁸⁹ Moreover, sectoral bargaining is particularly effective in ensuring collective bargaining coverage in highly fissured industries and industries with high numbers of independent contractors—industries in which women, people of color, and immigrants are disproportionately represented.⁹⁰ Because sectoral bargaining results in higher levels of collective bargaining coverage, it is also more effective than enterprise bargaining at reducing income inequality across countries.⁹¹ Here, sectoral bargaining is notably more effective than enterprise bargaining at addressing racial and gender pay gaps.⁹²

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It is also worth saying that sectoral bargaining can contribute significantly to economic productivity and efficiency. Because firms in a sectoral bargaining system do not—and indeed, generally cannot—secure

a competitive advantage by lowering wages, they are forced to compete based on the quality of the products that they produce or the services that they provide.

Sectoral systems also encourage increased investment in worker training. In a sectoral system, wages and benefits are generally equivalent across firms in an industry, so employers can invest in training without fear of losing workers to higher-paying competitors. And because sectoral systems concentrate much of the bargaining at the centralized level of the sector, individual firms are left with lower transaction costs when it comes to negotiating their own employment agreements.

For the foregoing reasons, **we recommend** that the new labor law provide for the establishment of a system of **sectoral bargaining for all** firms and **workers in the United States**. The new labor statute would **create** an administrative system of “sectoral **bargaining panels**” in **which unions, on a proportional basis**, would **bargain**—on behalf of all workers in a sector—with **employer associations**—**which** would **represent employers** in the sector **on a proportional basis**. The **agreements reached** by the sectoral unions and the sectoral employer associations **would become binding** on all firms, and for all workers, in the sector, subject to the following critical conditions. First, the **statute establishing this system** of sectoral bargaining would also **provide meaningful standards** that any sectoral agreement would be required to meet before that agreement could become binding on the sector. And, consistent with this feature of the new law, the statute would also provide for review and approval of sectoral agreements by the Secretary of Labor. Thus, for example, the statute could **require** that the **Secretary** of Labor **reject** any agreements that **do not improve** the **standard of living** for a **majority** of workers in the sector and that do not provide **all workers** in the sector with a **living wage**; an **adequate** amount of **paid sick, family, and vacation time**; and a **safe, secure, and healthy workplace**.⁹³ Crucially, the statute must **require** that the **Secretary of Labor reject** any **agreements that do not advance gender and racial equity**—including, but not limited to, pay equity.